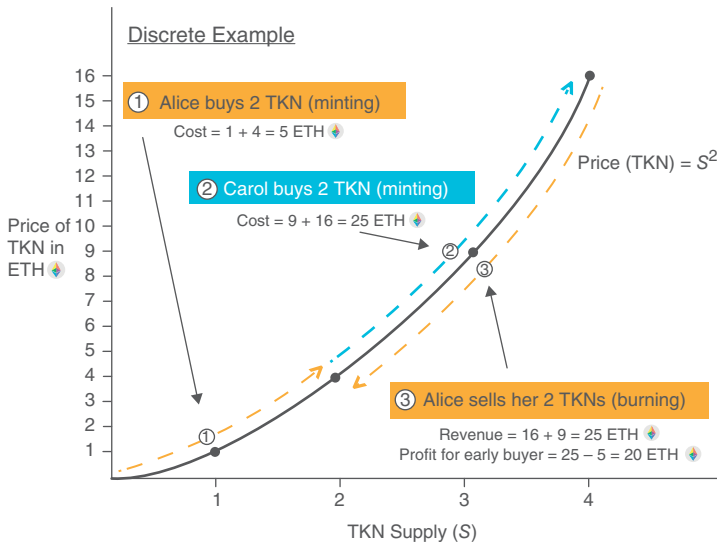


The growth rate of the bonding curve is important in determining users' performance. A linear growth rate would generously reward early users if the token grows to a sufficiently large supply. An even more extreme return could result from a superlinear growth rate (Figure 4.2), such as  $\text{TKN} = S^2$ . The first token would cost 1 ETH, and the hundredth would cost 10,000 ETH. In practice, most projects would use a sublinear growth rate or a logistic function (Figure 4.3) that converges on an upper bounded price.

A bonding curve can have a different price curve for buyers and for sellers (Figure 4.4). The selling curve could have a lower growth rate or intercept than the buying curve.



**Figure 4.2** Superlinear bonding curve